

get some electronic items such as motors, relays, gearboxes, timers, etc., from China... [but] have not witnessed disruptions... as most of the raw material and components required for production in the March quarter have either reached [us] or are [already] in transit," says Kamal Nandi, Business Head and Executive Vice President of Godrej Appliances.

Some companies have tweaked their strategy to deal with unpredictable situations. An example is Super Plastronics Pvt. Ltd (SPPL), the official brand licensee for Kodak, Thomson and Blaupunkt in India. "Normally, after the festive season, there is a lull. But we were focussed on capitalising on this [period]. Therefore, we increased our minimum stock level and continued purchasing," says SPPL CEO Avneet Singh Marwah. Most companies have adopted a similar practice. Videotex International, the manufacturer of Daiwa TVs and a contract manufacturer for many other brands, says it has enough stocks and shipments on the way to endure for a month and a half, if things go south in China.

The companies are keeping a close watch on how the situation pans out in China after their festival season, which ends in early February. If the rise in infections persists, resulting in lockdowns, shutdown of factories and backlog at ports, it is likely to impact makers of televisions, smartphones, and summer appliances such as air conditioners and refrigerators in the April-June quarter.

"The new lockdown enforced in Shenzhen for one to two weeks will undoubtedly create a delay in product supply. If the lockdown is extended, the industry will suffer

the consequences, with supply chain disruption creating production slowdown and the end product being delayed—because of India's reliance on China for raw materials," says Arjun Bajaj, Director of Videotex International.

A few companies are already looking at business being impacted. With the rise in Covid-19 cases in China leading to uncertainty and hampering the production of technology and related equipment, ViewSonic—that makes monitors—expects 25 per cent of its shipments to be hit. "There has been a shortage of panels as its production has been cut down [in China]. Additionally, the scarcity of IC components—already running on delayed orders—is likely to continue till Q2 [of calendar year] 2023," says Sanjoy Bhattacharya,

Director-Sales and Marketing, IT Business of ViewSonic India.

₹45,000

CRORE

WORTH OF MOBILE PHONES WERE EXPORTED BY INDIA IN FY22; THE FIGURE HAD CROSSED ₹40,000 CRORE BY NOVEMBER 2022, PER THE NITI AAYOG

impact is visible, for instance, in the smartphone industry. India exported ₹45,000 crore worth of mobile phones in FY22, per the NITI Aayog; in the current fiscal, this figure crossed the ₹40,000-crore mark till November, which is more than double the exports in the corresponding period a year ago.

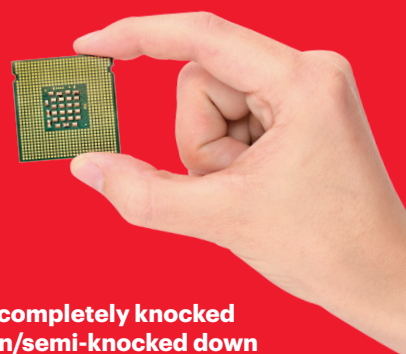
"PLI has boosted the low end of the component ecosystem, including, for instance, camera modules, chargers and packaging, among others. Thanks to PLI, the local value addition in India has

The Make in India Story

While the Indian electronics industry is still dependent on China for raw materials, it's not as if there has been no impact of AatmaNirbharBharat and various production-linked incentive (PLI) schemes. Their

CIRCUIT BREAKER

The shortage of chips that impacted industries across sectors from automobiles to medtech to consumer durables in the past is unlikely to happen soon, say experts. This is primarily because the supply chain has strengthened in the past six months, and there is sufficient inventory built by most major OEMs and contract manufacturers. But the present situation in China could impact some of the electronics products where India gets sub-assemblies



and completely knocked down/semi-knocked down (CKD/SKD) units. "More than chips, it is the CKD/SKD kits that go into many phones being assembled in many factories in India [that] may be impacted in the short term. Then there could be potential delays in adjacent ecosystems like lithium batteries," says K. Krishna Moorthy, CEO & President of India Electronics & Semiconductor Association. Most semiconductor manufacturers in APAC, Europe and the US have augmented capacity over the past many months and a chip shortage doesn't seem likely.